

Wealth Strategy Snapshot

Educational Analysis

Prepared for Raj & Ananya Patel

2026 Tax Year Planning • February 2026 • H1B Visa Household

Educational scenario modeling for discussion with licensed professionals

H1B HOUSEHOLD EDITION — IMMIGRATION-COMPLIANT STRATEGIES ONLY

Section 1: Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile as an H1B visa household. All strategies have been filtered for immigration compliance. Strategies requiring business ownership or active income generation are available only through Ananya Patel's business entity (Ananya Patel Design LLC) operating under H4 EAD authorization. Raj, as the H1B visa holder, is limited to W-2 employee benefits and passive investment activity.

This snapshot includes **3 direct strategies** (available to Raj as a W-2 employee, classified GREEN) and **5 strategies** available through Ananya's business entity (classified YELLOW). All investment activities modeled are passive in nature and carry no H1B visa implications. Implementation of any strategy should be verified with your CPA, licensed financial advisor, and immigration attorney.

Based on the profile information provided and using 2026 IRS limits, this snapshot models potential first-year value ranging from **\$119,419 (conservative scenario)** to **\$151,477 (aggressive scenario)**. These figures encompass modeled tax savings, projected investment income and appreciation, cash flow improvements, and total dollars positioned for wealth building across retirement accounts and investment accounts.

Section 2: Current Financial Position

Household Overview

ITEM	DETAIL
Primary Earner	Raj Patel, Age 34, Senior Software Engineer (H1B visa holder)
Spouse	Ananya Patel, H4 visa with approved EAD, Freelance UX Designer
Filing Status	Married Filing Jointly, 1 dependent (daughter, age 3)
Location	Bellevue, WA (no state income tax)
Raj's W-2 Compensation	\$175,000 base + ~\$40,000 RSUs = ~\$215,000 total W-2
Ananya's Self-Employment	~\$15,000 net (UX design freelance via LLC)
Household Income	~\$230,000 combined
Homeowner Status	Renter (\$3,200/month), planning to purchase in 3-6 months (\$600-700K range)
Deployable Capital	~\$75,000 liquid savings (separate from \$50,000 emergency fund)
Monthly Fixed Expenses	\$7,800
Non-Mortgage Debt	\$8,000 remaining on vehicle at 3.9%
Credit Score	780+

Current Retirement & Tax Optimization

ACCOUNT / STRATEGY	STATUS
Employer 401(k)	Maxing at \$24,500 (2026). Employer matches 50% of 6% = \$5,250/yr
HSA	Contributing \$6,000/yr (family max is \$8,750 for 2026). Gap of \$2,750.
Backdoor Roth IRA	Not doing (for either spouse)
Solo 401(k) / SEP IRA	None (Ananya has SE income but no plan set up)
Deduction Method	Standard deduction (\$32,200 MFJ for 2026)

Retirement Balances	Raj 401(k): ~\$145,000 Ananya old 401(k): ~\$8,000 Total: ~\$153,000
Crypto Holdings	~\$18,000 Bitcoin + ~\$3,000 Ethereum = \$21,000

Business Entity Status

ITEM	DETAIL
Entity	Ananya Patel Design LLC (Washington State)
Formed	June 2025 (8 months ago)
Tax Treatment	Single-member LLC, taxed as sole proprietorship (Schedule C)
S-Corp Election	Not made (income too low currently)
Raj's Involvement	None. Raj is not a member, manager, or operator due to H1B restrictions.
Revenue	~\$15,000/year net, goal to scale to \$50-75K within 18 months
Business Credit	Not established

Section 3: Immigration Status & Strategy Eligibility Assessment

H1B Visa Household: Strategy Availability

ASSESSMENT ITEM	STATUS	IMPACT ON AVAILABLE STRATEGIES
H1B Holder	Raj Patel, Year 5 (1st extension)	W-2 employee strategies and passive investing only. Cannot operate a business, earn 1099 income, or actively manage property.
I-140 Status	Approved (EB-2 India, PD March 2023)	Enables H4 EAD for spouse. Provides AC21 portability for employer changes. Reduces visa risk level.
Spouse Status	Ananya Patel, H4 with approved EAD	Can work for any employer, be self-employed, form and operate business entities. Unlocks YELLOW strategies.
Green Card Timeline	Estimated 10-15+ years (India EB-2 backlog)	Long planning horizon on H1B extensions. YELLOW strategies through spouse remain primary business vehicle for foreseeable future.
Liquidity Risk	Low-Medium	I-140 approved and in-demand skills reduce risk, but maintaining 6+ month emergency fund is appropriate given visa uncertainty.

Strategy Color Classification for This Snapshot

COLOR	MEANING	INCLUDED IN THIS SNAPSHOT
 GREEN	Available directly to Raj as W-2 employee	3 strategies (HSA max, Backdoor Roth, investment deployment)
 YELLOW	Available through Ananya's LLC (H4 EAD)	5 strategies (Solo 401k, QBI, home office, vehicle, equipment)
 ORANGE	Permitted but requires immigration attorney review	Referenced in future planning (rental property structure)
 RED	Prohibited for H1B holder	0 strategies (excluded from this document)

All strategies in this document have been filtered for H1B immigration compliance. No prohibited (RED) strategies are included. All YELLOW strategies are attributed to Ananya's business entity operating under H4 EAD authorization. Verify all YELLOW and ORANGE strategies with your immigration attorney before implementation.

H4 EAD Dependency Notice

Ananya's H4 EAD work authorization is contingent on Raj maintaining valid H1B status and the I-140 petition remaining approved. If the I-140 is revoked or Raj's H1B status is lost, Ananya's EAD may become invalid, affecting all business operations and income conducted under that authorization. All YELLOW strategies in this document carry this dependency risk.

Section 4: Timeline Awareness & Implementation Considerations (2026 Planning)

Week 1: Professional Consultations & Quick Wins

- **Immigration attorney consultation** for all YELLOW and ORANGE strategies. Specifically discuss: Ananya's LLC expansion, future rental property ownership structure, and whether Raj can hold passive LLC membership for investment property.
- **HSA payroll adjustment:** Increase contribution from \$6,000 to \$8,750 (2026 family max). Adjust with employer HR/payroll. This is a GREEN strategy with no visa implications.
- **Research Solo 401(k) custodians** for Ananya's self-employment income. Fidelity, Schwab, and Vanguard offer no-fee options. Through Ananya's LLC.

Week 2: Retirement Account Setup

- **Backdoor Roth IRA initiation for both spouses.** Open traditional IRA (if not existing), contribute \$7,000 for 2025 (deadline: April 15, 2026), then convert to Roth. Repeat with \$7,500 for 2026. GREEN strategy, no visa restriction for either spouse.
- **Solo 401(k) establishment** through Ananya's LLC. Plan must be established by December 31, 2026 for 2026 employee deferrals. Earlier setup allows more time to fund. Through Ananya's business entity.
- **Ananya: Begin mileage log and home office documentation.** Record dedicated workspace square footage, photograph setup, begin tracking business miles on RAV4. Through Ananya's LLC.

Week 3: Investment Strategy & Tax Planning

- **Evaluate 2025 Backdoor Roth IRA opportunity** ($\$7,000 \times 2 = \$14,000$ for 2025) before April 15, 2026 deadline. Coordinate with CPA on pro-rata rule implications if either spouse has existing traditional IRA balances.
- **Research current STRC yield** and establish brokerage account for investment deployment. All investments are passive activity, H1B compliant.
- **RSU vesting review:** Evaluate quarterly RSU withholding adequacy. Supplemental rate of 22% often under-withholds at Raj's income level. Discuss estimated tax payments with CPA.

Week 4: Professional Team & Long-Term Planning

- **Interview 2-3 CPAs** experienced with H1B/H4 household tax situations and business entity optimization. Current CPA may not be adequate for these strategies.
- **Equipment purchase evaluation** for Ananya's LLC (\$3,000-\$4,000 in laptop and design equipment). Section 179 deduction available for 2026 if purchased and placed in service this year. Through Ananya's business entity.

- **Begin home purchase process.** Pre-approval in hand (\$650K). Discuss ownership structure with real estate attorney and immigration attorney. Home purchase enables Augusta Rule through Ananya's business in future years.

Section 4.5: 2025 Tax Year — Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

STRATEGY	2025 LIMIT	CURRENT STATUS	DEADLINE	WHO
Backdoor Roth IRA (Raj)	\$7,000	Not done	April 15, 2026	● Raj directly
Backdoor Roth IRA (Ananya)	\$7,000	Not done	April 15, 2026	● Ananya directly
HSA Gap (2025)	\$8,550 family	Contributed ~\$6,000	April 15, 2026	● Through employer plan
Solo 401(k) Employer Portion (Ananya)	25% of net SE income	No plan existed in 2025	Tax filing + extensions	● Requires plan to have been established by 12/31/2025

Potential 2025 cleanup value: Up to \$16,550 in additional tax-advantaged contributions (\$14,000 in Backdoor Roth + \$2,550 HSA gap). The Backdoor Roth contributions do not generate a 2025 deduction but position dollars for permanent tax-free growth.

No longer available for 2025: 401(k) employee deferrals (December 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (December 31 deadline, and no plan existed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return. The Backdoor Roth IRA process involves contributing to a traditional IRA and converting to Roth. Verify there are no existing traditional IRA balances that would trigger the pro-rata rule.

Section 5: 2026 Tax Optimization Strategies to Explore

The following strategies are organized by immigration compliance classification. All potential values shown are modeled estimates based on 2026 IRS limits and the profile information provided. Verify eligibility and implementation with your CPA and immigration attorney.

Marginal tax rate used: 22% federal (MFJ taxable income falls in the 22% bracket after \$32,200 standard deduction and pre-tax deferrals). Washington State has no income tax, so the combined rate is 22%. For Ananya's self-employment income, an additional 15.3% SE tax rate applies (7.65% employee + 7.65% employer equivalent).

● GREEN — Direct

Strategy Concept: HSA Maximization

Potential Tax Savings: \$605/year

What It Is: A Health Savings Account provides a triple tax benefit: contributions are pre-tax, growth is tax-free, and qualified medical withdrawals are tax-free. The Patel household is currently contributing \$6,000 to their family HSA but the 2026 limit is \$8,750, leaving \$2,750 on the table.

How It Works:

1. Increase payroll HSA deduction to reach \$8,750 annual maximum (adjust through employer HR)
2. Additional \$2,750 reduces federal taxable income: $\$2,750 \times 22\% = \605 in modeled tax savings
3. HSA funds also avoid FICA tax (7.65%) when contributed through payroll, adding ~\$210 in additional savings

Eligibility Criteria: Must be enrolled in a qualifying High Deductible Health Plan (confirmed: family HDHP through employer). Under age 55, so no catch-up contribution applies.

H1B Compliance: HSA contributions through employer payroll are a standard W-2 employee benefit. No visa restriction. Does not require business ownership or active income.

Verify contribution limits and HDHP enrollment with your CPA. 2026 family HSA limit: \$8,750. If you change insurance plans mid-year, the contribution limit is prorated.

● GREEN — Direct

Strategy Concept: Backdoor Roth IRA (Both Spouses)

Potential Value: \$15,000/year positioned for tax-free growth

What It Is: High-income earners who exceed Roth IRA income limits (\$230K MAGI for MFJ in 2026) can still fund Roth IRAs through the "backdoor" method: contribute to a traditional IRA (non-deductible), then convert to Roth. Both Raj and Ananya can each contribute \$7,500 for 2026 (under age 50, no catch-up).

How It Works:

1. Contribute \$7,500 to a traditional IRA (non-deductible) for each spouse
2. Convert the traditional IRA balance to Roth IRA (typically within days)
3. Total: \$15,000/year growing tax-free with no required minimum distributions

Eligibility Criteria: No income limit for non-deductible traditional IRA contributions. Critical requirement: neither spouse should have existing pre-tax traditional IRA balances, or the "pro-rata rule" will cause part of the conversion to be taxable. Ananya's old employer 401(k)

(\$8,000) should be rolled into her Solo 401(k) (not a traditional IRA) to keep the backdoor clean.

H1B Compliance: IRA contributions are available to any U.S. tax resident with earned income. Both Raj (W-2) and Ananya (SE) have qualifying earned income. No visa restriction.

The Backdoor Roth process does not generate a current-year tax deduction but provides permanent tax-free growth. At age 34, the compounding benefit over 30+ years is substantial. Verify pro-rata rule implications with your CPA. 2026 IRA limit: \$7,500 per person.

● YELLOW — Spouse's Business

Strategy Concept: Solo 401(k) on Ananya's Self-Employment Income

Potential Tax Savings: \$2,200 - \$2,640/year

What It Is: A retirement plan for self-employed individuals allowing both employee and employer contributions. On Ananya's ~\$15,000 net SE income, estimated contribution capacity is \$10,000-\$12,000 (employee deferral up to \$24,500, plus employer portion of 25% of net SE income, capped by actual income). This defers income from current taxation at the household's marginal rate.

How It Works:

1. Establish Solo 401(k) plan through a custodian (Fidelity, Schwab, Vanguard offer no-fee options). Must be established by December 31, 2026 for employee deferrals.
2. Employee deferral: Ananya can defer up to \$15,000 of her SE income (limited by actual net earnings). Employer portion: ~25% of adjusted net SE income (~\$2,400-\$2,800).
3. Tax savings: \$10,000-\$12,000 × 22% federal rate = \$2,200-\$2,640 modeled savings, plus SE tax reduction.

Eligibility Criteria: Self-employment income, no full-time W-2 employees (spouse exception applies). Ananya qualifies through her LLC's Schedule C income.

H1B Compliance: This strategy is available through Ananya Patel's business entity (Ananya Patel Design LLC) operating under H4 EAD authorization. Raj does not participate in operating this business. The Solo 401(k) is Ananya's retirement plan funded by her self-employment earnings.

Solo 401(k) employee contribution limit for 2026: \$24,500 (under age 50). Actual contribution is limited to net SE income. Employer portion can be contributed until tax filing deadline + extensions. Roll Ananya's old employer 401(k) (\$8,000) into this plan to avoid pro-rata issues with Backdoor Roth. Verify with CPA.

● YELLOW — Spouse's Business

Strategy Concept: QBI Section 199A Deduction

Potential Tax Savings: \$528 - \$660/year

What It Is: The Section 199A Qualified Business Income deduction (made permanent by OBBBA) allows a 20% deduction on qualified business income from pass-through entities. On Ananya's ~\$12,000-\$15,000 of QBI (after Solo 401(k) deferral and other adjustments), this provides a \$2,400-\$3,000 deduction from taxable income.

How It Works:

1. Ananya's LLC net income flows to Schedule C on the joint return

2. 20% of qualified business income is deducted: ~\$2,400-\$3,000

3. Tax savings: $\$2,400 - \$3,000 \times 22\% = \$528 - \660 modeled savings

Eligibility Criteria: QBI from domestic pass-through business. The Patels' MFJ taxable income is well below the \$403,550 threshold where W-2 wage and property basis limitations apply. UX design is a specified service trade, but this limit only applies above the income threshold.

H1B Compliance: This deduction flows from Ananya's business income through her LLC operating under H4 EAD. Raj's W-2 income does not generate QBI. No action required by Raj.

QBI deduction is calculated on the tax return. CPA should verify the calculation based on actual 2026 business income. The 20% QBI deduction is now permanent under OBBBA.

● YELLOW — Spouse's Business

Strategy Concept: Home Office Deduction

Potential Tax Savings: \$330 - \$560/year

What It Is: The simplified home office deduction allows \$5 per square foot (up to 300 sq ft = \$1,500 max) for a dedicated workspace used regularly and exclusively for business. Ananya uses a dedicated room for her UX design work through her LLC.

How It Works:

1. Measure the dedicated workspace used exclusively for Ananya's business
2. Simplified method: $\$5 \times \text{square footage (up to 300 sq ft)} = \text{up to } \$1,500 \text{ deduction}$
3. Alternatively, actual expense method allocates proportional rent, utilities, and insurance based on sq ft percentage. At \$3,200/month rent, this could yield a larger deduction.
4. Tax savings: $\$1,500 - \$2,545 \text{ deduction} \times 22\% = \$330 - \$560 \text{ modeled savings, plus SE tax reduction}$

Eligibility Criteria: Space must be used regularly and exclusively for business. The room must be Ananya's principal place of business or a place where she regularly meets clients. A dedicated room used for UX design work generally qualifies.

H1B Compliance: This deduction is available through Ananya's qualifying business (Ananya Patel Design LLC) operating under H4 EAD. The workspace is Ananya's business office. Raj does not claim this deduction and does not use the space for business purposes (he has no business activity due to H1B restrictions).

Photograph the dedicated workspace and maintain records showing regular and exclusive business use. If using actual expense method, keep receipts for rent, utilities, and insurance. Verify calculation method with CPA.

● YELLOW — Spouse's Business

Strategy Concept: Business Vehicle / Mileage Deduction

Potential Tax Savings: \$550 - \$1,340/year

What It Is: Ananya uses her 2021 Toyota RAV4 for client meetings and business travel related to her UX design work. The IRS standard mileage rate for 2026 is 72.5 cents per mile. At an estimated 3,500-5,000 business miles per year (~30% of total driving), this creates a meaningful deduction.

How It Works:

1. Track all business miles using a mileage log app (MileIQ, Everlance, or similar)
2. Standard mileage method: $3,500 - 5,000 \text{ miles} \times \$0.725 = \$2,538 - \$3,625 \text{ deduction}$

3. Alternatively, actual expense method (gas, insurance, maintenance, depreciation) × business use percentage

4. Tax savings: $\$2,538 - \$3,625 \times 22\% = \$558 - \798 federal, plus SE tax reduction of $\sim \$388 - \542

Eligibility Criteria: Must maintain contemporaneous mileage log documenting date, destination, business purpose, and miles for each trip. Commuting miles do not qualify, but driving to client sites, office supply stores, and business meetings does.

H1B Compliance: This deduction is through Ananya's business entity (Ananya Patel Design LLC). Raj's Tesla Model 3 is personal use only and generates no business deduction (Raj has no business activity).

Begin tracking mileage immediately. The IRS requires contemporaneous records. 2026 rate: 72.5¢/mile. Verify with CPA whether standard mileage or actual expense method produces a better result.

● YELLOW — Spouse's Business

Strategy Concept: Section 179 / Equipment Expensing

Potential Tax Savings: \$660 - \$1,480 (one-time, year of purchase)

What It Is: Section 179 (expanded to \$2,500,000 under OBBBA) allows immediate expensing of qualifying business equipment instead of depreciating it over multiple years. Ananya plans to purchase upgraded laptop and design equipment (\$3,000-\$4,000) for her LLC.

How It Works:

1. Purchase qualifying business equipment (laptop, monitors, design peripherals, software licenses)
2. Deduct full cost in the year placed in service under Section 179
3. $\$3,000 - \$4,000 \times 22\%$ federal = \$660-\$880, plus SE tax savings of ~\$459-\$612

Eligibility Criteria: Equipment must be used more than 50% for business. Keep receipts and document business use. Section 179 deduction cannot exceed net business income (so Ananya's ~\$15K SE income must support the deduction).

H1B Compliance: Equipment purchased for and used by Ananya's business (Ananya Patel Design LLC) under H4 EAD. Raj does not use this equipment for business (employer provides his work equipment).

Section 179 limit for 2026: \$2,500,000 (OBBBA). The practical limit here is Ananya's net business income. Verify deduction eligibility with CPA. Keep purchase receipts and document business use percentage.

Section 6: Primary Strategy Deep Dive — Maximizing Ananya's LLC

The single most impactful lever for the Patel household's tax strategy is scaling Ananya's LLC income and optimizing its structure as it grows. Here is how the math changes at different income levels.

LLC Scaling Roadmap & S-Corp Election Timing

At current income (~\$15K net), Ananya's LLC is best left as a sole proprietorship taxed on Schedule C. The administrative costs of S-Corp election (\$2,000-\$3,000/year for payroll processing and separate S-Corp tax return) would consume most of the SE tax savings at this income level.

ANANYA'S NET SE INCOME	RECOMMENDED STRUCTURE	SE TAX SAVINGS FROM S-CORP	ADMIN COST	NET BENEFIT
\$15,000 (current)	Sole Prop (Schedule C)	~\$0	\$0	Keep it simple

\$40,000	Evaluate S-Corp	~\$2,600	~\$2,500	Marginal benefit; CPA dependent
\$50,000	S-Corp likely beneficial	~\$4,200	~\$2,500	~\$1,700 net savings
\$75,000 (goal)	S-Corp clearly beneficial	~\$7,200	~\$3,000	~\$4,200 net savings

SE tax savings calculated as: (Net income - reasonable salary) × 15.3%. Reasonable salary estimated at 60% of net income. Actual reasonable salary determination should be discussed with CPA.

What S-Corp Election Unlocks (Future)

Once Ananya's LLC elects S-Corp status (typically effective January 1 of the elected year via Form 2553), additional strategies become available through her S-Corp:

- **Accountable Plan:** S-Corp reimburses Ananya for legitimate business expenses (cell phone, internet, professional development) tax-free. These reimbursements reduce S-Corp income and are not taxable to Ananya.
- **Augusta Rule** (after home purchase): Ananya's S-Corp rents the Patels' home for legitimate business meetings up to 14 days/year. At \$500-\$700/day, this creates up to \$7,000-\$9,800 in business deductions for the S-Corp and tax-free income to the Patels as homeowners under IRC §280A(g).
- **Larger Solo 401(k) capacity:** At \$75K income with S-Corp, employer contributions increase significantly. Reasonable salary of ~\$45K plus employer match of 25% = \$11,250 employer contribution + \$24,500 employee deferral = \$35,750 total potential retirement contribution.

⚠️ *H1B Immigration Compliance: All strategies above operate through Ananya's business entity under H4 EAD authorization. Raj does not participate in operating, managing, or making business decisions for this entity. S-Corp election, Augusta Rule implementation, and accountable plan administration are business decisions made by Ananya as the sole owner/operator. Verify structuring with immigration attorney before implementation.*

Retirement Account Strategy Across Both Spouses

ACCOUNT	WHO	2026 CONTRIBUTION	COLOR	NOTES
Employer 401(k)	Raj	\$24,500	●	Already maxing. Employer matches \$5,250.
HSA (Family)	Raj (payroll)	\$8,750	●	Increase from \$6,000 to max.
Backdoor Roth IRA	Raj	\$7,500	●	Non-deductible contribution + Roth conversion.
Backdoor Roth IRA	Ananya	\$7,500	●	Roll old 401(k) into Solo 401(k) first to avoid pro-rata.
Solo 401(k)	Ananya	\$10,000-\$12,000	●	Through Ananya's LLC. Capped by SE income.
Total Retirement Contributions		\$58,250-\$60,250		Plus \$5,250 employer match

Both spouses are under age 50, so no catch-up contributions apply. Note: Raj's 2025 FICA wages exceeded \$150,000, but since he is under 50, the SECURE 2.0 mandatory Roth catch-up requirement does not apply (no catch-up contributions to make). Verify all contribution limits with CPA. 2026 limits shown.

Section 6.5: Future Strategy Opportunities — After Green Card Approval

Strategies That Become Available with Green Card

Based on Raj's current profile, receiving a green card (or EAD through I-485 filing) would unlock the following additional strategies. Given the EB-2 India backlog (estimated 10-15+ years), these represent a long-term planning horizon, but preparation can begin now.

STRATEGY	WHAT IT ENABLES	ESTIMATED ANNUAL VALUE
Software consulting side business	Raj forms own LLC/S-Corp for consulting income (\$50-75K potential)	\$8,000 - \$15,000 in tax savings
S-Corp Election (Raj's entity)	SE tax savings on income above reasonable salary	\$3,000 - \$6,000
Augusta Rule (Raj's business)	Business rental of home at \$500-700/day, up to 14 days	\$1,500 - \$3,500
Active RE management / REP status	No immigration risk. Cost seg losses directly offset W-2 income.	\$5,000 - \$15,000+
Multiple entity structuring	Management company, IP holding, separate RE entities	\$2,000 - \$5,000

Estimated Additional Annual Tax Savings After Green Card: \$19,500 - \$44,500

(dependent on business income scale and real estate portfolio size)

Planning Ahead: Consider building skills, professional relationships, and business plans now so implementation can begin quickly after green card approval. Ananya's existing LLC provides operational experience and client relationships that may support Raj's future business as well.

These strategies are NOT available while on H1B visa. Do not implement until you have received your green card or EAD through I-485 filing. Verify timing with your immigration attorney. The EB-2 India backlog is subject to change based on visa bulletin movements and potential legislative reform.

Section 7: Illustrative Portfolio Scenario

Capital Context: The Patel household has ~\$75,000 in deployable liquid savings plus \$21,000 in existing crypto holdings. However, a primary home purchase is planned in 3-6 months (\$600-

700K range, requiring \$130,000+ for 20% down payment and closing costs). This significantly constrains near-term investment deployment. The scenarios below model investment capital deployed separately from home purchase reserves.

Remittance factor: \$380/month (\$4,560/year) sent to parents in India reduces ongoing investable cash flow but does not affect the liquid capital deployment modeled here.

RSU Diversification Consideration: Raj's ~\$40,000 in annual RSU vestings create concentration risk in a single employer stock. A common approach is to sell RSUs upon vesting and redeploy proceeds into a diversified portfolio. RSUs held 12+ months after vesting convert future gains to long-term capital gains (15% rate at this income level). Discuss sell-on-vest vs. hold strategy with your financial advisor.

New Capital Deployment Scenario (2026)

ASSET CLASS	CONSERVATIVE %	CONSERVATIVE \$	AGGRESSIVE %	AGGRESSIVE \$	EDUCATIONAL RATIONALE	H1B STATUS
Bitcoin	50%	\$12,500	55%	\$20,625	Core wealth accumulation vehicle. Fixed supply of 21M coins and institutional adoption trajectory. Aligns with stated 5-10 year horizon and comfort with 30-50% drawdowns.	Passive
STRC	30%	\$7,500	25%	\$9,375	Bitcoin-correlated income (historically 10-12% yield). Provides passive cash flow while maintaining Bitcoin ecosystem exposure. Dividends are passive income.	Passive
VTI / VOO	20%	\$5,000	20%	\$7,500	Broad U.S. equity market exposure at low cost. VTI (total market) or VOO (S&P 500) provide diversification outside of crypto and	Passive

					single- employer stock exposure.	
Total New Deployment		\$25,000		\$37,500		

Existing holdings maintained: \$18,000 Bitcoin + \$3,000 Ethereum = \$21,000 (held, not redeployed)

Remaining liquid capital: \$50,000 conservative / \$37,500 aggressive, reserved for home purchase down payment and liquidity buffer. Given H1B visa uncertainty, maintaining accessible cash reserves is prudent even with I-140 approved.

Purchasing and holding Bitcoin, STRC, VTI, and VOO are passive investment activities with no H1B visa implications. All investments shown are available to any U.S. tax resident regardless of visa status.

This scenario models one approach based on the profile indicated. These are not recommendations to buy, sell, or hold any specific security. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency investments are highly volatile and speculative. Verify current STRC yield at time of investment; historical yields are not guaranteed. Implementation decisions should be discussed with a licensed financial advisor who understands your complete situation.

FBAR / FATCA Compliance Note

If you maintain financial accounts outside the United States (including accounts in India) with aggregate balances exceeding \$10,000 at any point during the year, you are required to file FinCEN Form 114 (FBAR) by April 15. If you meet FATCA thresholds (generally \$50,000+ for domestic filers), Form 8938 must be attached to your tax return. Penalties for non-filing can be severe. Discuss foreign account reporting with your CPA.

Section 8: Modeled First-Year Value Summary (2026 Tax Year)

This table models the comprehensive first-year value across all categories for the strategies discussed in this snapshot. Conservative scenario uses Q45 deployment amount (\$25,000 comfortable midpoint). Aggressive scenario uses Q26 liquid capital (\$37,500 midpoint of \$75K, after reserving for home purchase). All values are modeled estimates.

CATEGORY / LINE ITEM	CONSERVATIVE	AGGRESSIVE
CATEGORY A1: Direct Tax Optimization (GREEN — Raj as W-2 Employee)		
HSA Maximization Gap (\$2,750 × 22%)	\$605	\$605
Subtotal A1	\$605	\$605
CATEGORY A2: Spouse's Business Tax Optimization (YELLOW — Through Ananya's LLC)		
Solo 401(k) Tax Savings (\$10K-\$12K × 22%)	\$2,200	\$2,640
QBI §199A Deduction (\$2,400-\$3,000 × 22%)	\$528	\$660
Home Office Deduction (\$1,500-\$2,545 × 22%)	\$330	\$560
Vehicle Mileage (3,500-5,000 mi × \$0.725 × 22% + SE)	\$550	\$1,340
Equipment §179 (\$3,000-\$4,000 × 22% + SE) [one-time]	\$660	\$1,480
Subtotal A2	\$4,268	\$6,680
TOTAL TAX OPTIMIZATION (A1 + A2)	\$4,873	\$7,285
CATEGORY B: Investment Income (Yield / Dividends) — All Passive, H1B Compliant		
STRC Yield (10-12% on deployed capital)	\$750	\$1,125
VTI/VOO Dividends (~1.8%)	\$90	\$135
Subtotal B: Investment Income	\$840	\$1,260
CATEGORY C: Investment Appreciation (Modeled) — All Passive, H1B Compliant		
New Bitcoin Deployed (25% / 50%)	\$3,125	\$10,313
Existing Bitcoin Held - \$18K (25% / 50%)	\$4,500	\$9,000
New STRC Deployed (15% / 30%)	\$1,125	\$2,813

Existing Ethereum Held - \$3K (25% / 50%)	\$750	\$1,500
VTI/VOO (8% / 12%)	\$400	\$900
Subtotal C: Appreciation	\$9,900	\$24,526
CATEGORY D: Real Estate		
Investment Property	\$0	\$0
<i>Capital constrained by planned primary home purchase. Investment property timeline: 6-12 months. Any future rental property must use licensed property management company (H1B compliance).</i>		
Subtotal D: Real Estate	\$0	\$0
CATEGORY E: Cash Flow Improvements		
W-4 / Withholding Optimization (RSU adjustment)	\$150	\$250
Car Loan Payoff Interest Savings (\$8K @ 3.9%)	\$156	\$156
Subtotal E: Cash Flow	\$306	\$406
CATEGORY F: Wealth Building (Dollars Positioned)		
401(k) Contributions (Raj, ongoing)	\$24,500	\$24,500
Employer 401(k) Match (50% of 6% of \$175K salary)	\$5,250	\$5,250
HSA Additional Contribution (gap fill)	\$2,750	\$2,750
Backdoor Roth IRA × 2 (\$7,500 each)	\$15,000	\$15,000
Solo 401(k) — Ananya's LLC	\$10,000	\$12,000
Investment Capital Deployed	\$25,000	\$37,500
Existing Crypto Holdings (maintained)	\$21,000	\$21,000
Subtotal F: Wealth Building	\$103,500	\$118,000
GRAND TOTAL: MODELED FIRST-YEAR VALUE (2026)	\$119,419	\$151,477

All values are modeled estimates for educational purposes. Actual results will vary based on market conditions, tax law changes, business income levels, and individual circumstances. Tax savings assume 22% federal marginal rate (WA has no state income tax). Investment appreciation rates are illustrative projections, not guaranteed returns. Verify all strategies with your CPA, financial advisor, and immigration attorney before implementation. 2026 IRS limits shown per Rev. Proc. 2025-32.

Section 9: Calendar Awareness & Key Dates (2026)

TIMEFRAME	ITEM	NOTES
Before April 15, 2026	2025 Backdoor Roth IRA contributions (\$7,000 × 2)	Last chance for 2025 IRA contributions
Before April 15, 2026	2025 HSA gap (\$2,550)	If contributing outside payroll
Q1 2026	Adjust HSA payroll deduction to \$8,750	🟢 Through employer
Q1-Q2 2026	Establish Solo 401(k) for Ananya	🟡 Through Ananya's LLC
Q1-Q2 2026	Open and fund Backdoor Roth IRAs (2026)	🟢 Both spouses
Q1 2026	Immigration attorney consultation	For YELLOW/ORANGE strategies
Q2 2026	CPA search (H1B-experienced)	Replace current CPA if needed
Q2-Q3 2026	Primary home purchase (~\$600-700K)	Pre-approved for \$650K. Discuss ownership structure with attorneys.
Q3-Q4 2026	Equipment purchase for Ananya's LLC	🟡 \$179 deduction for 2026 (must be placed in service by 12/31)
Q4 2026	Begin mileage and home office documentation review	🟡 Ensure full year of records
Before Dec 31, 2026	Solo 401(k) employee contributions	🟡 Through Ananya's plan
Ongoing	RSU vesting quarters (Mar, Jun, Sep, Dec)	Review withholding adequacy each quarter
Ongoing	DCA Bitcoin / STRC deployment	🟢 Passive investment, H1B compliant
H1B Renewal	Monitor H1B extension timeline	Year 5, first extension. Next renewal in ~1 year.
Ongoing	Monitor EB-2 India visa bulletin	PD: March 2023. Check monthly bulletin for movement.

Section 10: Questions for Your Professional Team

For Your CPA (Tax Professional)

- Are we maximizing all available deductions for Ananya's LLC (home office, vehicle, equipment, QBI)? Should we use simplified or actual expense method for each?
- What is the optimal Solo 401(k) contribution for Ananya given her ~\$15K SE income? Should she prioritize employee deferral vs. employer contribution?
- Can you walk us through the Backdoor Roth IRA process for both spouses? Ananya has an old employer 401(k) (\$8K). Should we roll that into the Solo 401(k) before starting the backdoor conversion?
- At what income level should Ananya's LLC elect S-Corp status? What would the setup and ongoing costs look like?
- What are the tax implications of Raj's RSU vestings and how can we optimize withholding? Are estimated tax payments needed?
- Can Ananya's business losses (if any in early growth years) offset Raj's W-2 income on our joint return? What are the limitations?
- Once we buy a home, what deductions become available? Should we switch from standard deduction to itemizing? (SALT cap now \$40,000 under OBBBA, but WA has no state income tax, so the main itemizable item would be mortgage interest.)
- Do we have any FBAR or FATCA reporting obligations for accounts maintained in India?

For Your Immigration Attorney

- Can Ananya legally expand her LLC's service offerings (website design, brand consulting, digital templates) under her H4 EAD?
- If we purchase rental property, what ownership structure is safest for H1B compliance? Can Raj hold title individually, jointly with Ananya, or should it be under Ananya's LLC?
- Does using a licensed property management company fully satisfy the "passive ownership" requirement for Raj's H1B compliance?
- If Ananya claims Real Estate Professional status in the future, does that create any H4 EAD concerns?
- What happens to Ananya's LLC, its income, and any property we own if the I-140 is revoked or Raj's H1B status changes?
- Can Raj be a passive capital contributor (not manager or member) to an LLC that holds investment property? How should this be documented?
- Does owning investment property or having Ananya's business affect Raj's green card application in any way?

For Your Financial Advisor

- Given our H1B status and visa uncertainty, what is the appropriate emergency fund level? Is \$50K (6+ months) sufficient?
- How should we handle RSU diversification? Sell on vest and redeploy, or hold for long-term capital gains treatment?

- What is an appropriate Bitcoin allocation given our 5-10 year time horizon and comfort with volatility, balanced against the need for liquidity due to visa status?
- How should we sequence major capital deployments: home purchase vs. investment portfolio vs. retirement accounts?
- What is the current STRC yield and what are the risks associated with Bitcoin-correlated income products?

Section 11: Professional Team for Implementation

Implementing the strategies discussed in this snapshot requires coordination across multiple professionals. For H1B households, the immigration attorney is a critical team member that standard wealth plans may not include.

PROFESSIONAL	ROLE IN YOUR STRATEGY	WHAT TO LOOK FOR
CPA / Tax Professional	Verify tax strategy eligibility, prepare returns (personal + Ananya's LLC), Solo 401(k) contribution calculations, RSU withholding optimization, FBAR/FATCA compliance	Experience with H1B/H4 household tax situations, S-Corp elections, self-employment tax planning. Must understand how visa status affects available deductions.
Immigration Attorney	Review all YELLOW and ORANGE strategies for H1B/H4 compliance, advise on property ownership structure, monitor regulatory changes affecting H4 EAD	Specialization in employment-based immigration (H1B, H4 EAD, EB-2). Should understand the intersection of business entity formation and visa compliance.
Financial Advisor	Investment deployment strategy, RSU diversification plan, risk assessment, retirement planning across both spouses' accounts	Fee-only or flat-fee advisor (avoid AUM percentage fees on simple allocations). Familiarity with Bitcoin, STRC, and tax-advantaged investing. Understanding of visa holder liquidity needs.
Real Estate Attorney	Property purchase structure (when ready), title and ownership documentation, LLC formation for property holding (if applicable)	Experience with investment property structuring. Understanding of H1B ownership restrictions and documentation needs.
Property Management Company	Required for any future rental property investment. Handles tenant screening, maintenance, rent collection, and all active management activities.	Licensed in target market. Full-service management (not just tenant placement). H1B holders must use professional management to avoid unauthorized employment concerns.

Section 12: Milestones & Progress Markers

MILESTONE	TARGET	INDICATOR OF SUCCESS
HSA fully maxed	Q1 2026	Payroll deduction adjusted to reach \$8,750 for the year

Backdoor Roth IRAs funded (2025 + 2026)	Q1-Q2 2026	\$14,000 for 2025 + \$15,000 for 2026 = \$29,000 in Roth accounts
Solo 401(k) established (Ananya)	Q2 2026	Plan opened at custodian, first contribution made
CPA upgraded (H1B-experienced)	Q2 2026	New CPA engaged who understands H1B/H4 tax optimization
Immigration attorney consulted	Q1 2026	Written guidance on LLC expansion and property structure
Investment deployment initiated	Q2 2026	DCA strategy active for Bitcoin/STRC/VTI allocation
Primary home purchased	Q2-Q3 2026	Closed on home in Bellevue/Eastside area
Ananya's LLC documentation complete	Q4 2026	Full year of mileage logs, home office records, equipment receipts
Ananya's LLC income growth	12-18 months	Revenue scaling toward \$50-75K target, S-Corp evaluation at \$40K+
First rental property (future)	6-12 months post home purchase	Turnkey property with PM company in place. Immigration attorney approved structure.
Green card progress	Ongoing	Monthly visa bulletin monitoring. Priority date: March 2023 (EB-2 India).

Section 13: Educational Resources

Tax Strategy Education

- IRS Publication 590-A/B: IRA Contribution and Distribution Rules (Backdoor Roth process)
- IRS Publication 969: Health Savings Accounts (HSA limits and rules)
- IRS Publication 560: Retirement Plans for Small Business (Solo 401(k) / SEP IRA)
- IRS Publication 587: Business Use of Your Home (home office deduction)
- IRS Publication 463: Travel, Gift, and Car Expenses (mileage deduction)
- IRS Form 2553: Election by a Small Business Corporation (S-Corp election)
- Rev. Proc. 2025-32: 2026 inflation-adjusted limits

Immigration Resources

- USCIS: H-4 Employment Authorization for Certain H-4 Dependent Spouses (H4 EAD rules)
- USCIS Visa Bulletin: Monthly updates on EB-2 India priority date movement
- 2025 DHS Final Rule: H-1B beneficiary-owned companies and modernization provisions
- AC21 Portability: Rules for changing employers with approved I-140

Foreign Account Compliance

- FinCEN Form 114 (FBAR): Foreign Bank Account Reporting requirements
- IRS Form 8938 (FATCA): Statement of Specified Foreign Financial Assets

Investment Education

- Bitcoin: Open-source, decentralized digital asset with fixed supply of 21 million. Commonly used as a long-term wealth accumulation vehicle.
- STRC: Provides Bitcoin-correlated income through yield generation. Verify current yield and terms before investment.
- VTI: Vanguard Total Stock Market ETF. Tracks CRSP US Total Market Index, providing broad equity exposure.
- VOO: Vanguard S&P 500 ETF. Tracks S&P 500 index, providing large-cap U.S. equity exposure.

Section 14: Important Disclaimers

Educational Purpose

This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice. The scenarios, calculations, and strategies presented are educational models designed to illustrate how certain financial concepts and tax provisions work for someone with a similar financial profile.

Not Investment Advice

Legacy Investing Show and its staff are not registered investment advisers. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented are illustrative models for educational purposes only. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency investments are highly volatile and speculative. STRC yields are historical and not guaranteed. Past performance does not guarantee future results.

Not Tax Advice

Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax savings depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation. All tax calculations use 2026 IRS limits per Rev. Proc. 2025-32 and incorporate OBBBA provisions signed July 4, 2025.

Not Legal Advice

Entity structure, asset protection, and business formation discussions are educational. Consult a qualified attorney for legal guidance specific to your situation and state of residence.

No Guarantees

Projected values, potential savings, and scenario outcomes are illustrative estimates based on assumptions stated. Actual results will vary based on market conditions, tax law changes, and individual circumstances.

Investment Risk Disclosure

All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes

Tax laws change regularly. Information presented reflects understanding as of February 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required

Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

Limitation of Liability

Legacy Investing Show assumes no liability for actions taken based on information in this educational document. You are solely responsible for your financial decisions.

Immigration Status Disclaimer

Not Immigration Advice: This document does not constitute immigration legal advice. Legacy Investing Show is not an immigration law firm and does not provide guidance on visa compliance, employment authorization, or immigration status. All strategies presented are filtered for general H1B/H4 compliance based on publicly available information, but individual circumstances vary significantly.

Immigration Attorney Required: Before implementing ANY strategy that involves business entity formation, active income generation, real estate management, or employment of family members, consult with a qualified immigration attorney who understands your specific visa status, I-140 status, and green card application timeline.

H4 EAD Dependency Risk: Strategies utilizing the spouse's H4 EAD work authorization are contingent on the H1B holder's continued valid status and approved I-140 petition. If the I-140 is revoked or H1B status is lost, the H4 EAD may become invalid, which would affect all business operations and income conducted under that authorization.

Changing Regulations: H1B and H4 EAD regulations are subject to change through executive action, rulemaking, or legislation. The 2025 DHS final rule on H1B beneficiary-owned companies and H4 EAD authorization rules may be modified. Verify current regulations with your immigration attorney.

State-Specific Rules: Some states have additional requirements or restrictions for visa holders forming business entities, obtaining professional licenses, or purchasing real estate. Verify state-level compliance in Washington State.